with Pakistan would be a significant distraction, diverting precious political and financial resources from the task of ensuring continued expansion. Also, Indo-Pakistani conflict could damage India's budding trade relationships, particularly with the United States. Conflict with Pakistan could damage India's international image and put India in the awkward position of fighting with a major U.S. ally. The resulting harm to Indo-U.S. relations could be financially costly and pose a further threat to continued Indian growth.[47]

The Indian government wishes to create, as Indian foreign secretary Shivshankar Menon put it, a "peaceful and prosperous periphery. . . . Without a peaceful and prosperous neighborhood, we cannot concentrate upon the urgent task of improving the lives of our people through continued and rapid social and economic development. It therefore follows that good-neighborly relations with Pakistan, or at least normalized relations and a modus vivendi, are in India's interest."[48]

The second major factor underlying India's pursuit of improved relations with Pakistan is the nature of anti-Indian terrorism. Pakistan-backed terrorists continue to launch bloody attacks on targets in the Indian heartland. For example, in October 2005, a series of bombings in New Delhi street markets killed approximately 60 people on the eve of the Hindu festival of Diwali. And in July 2006, a spate of bombings killed approximately 180 people on commuter trains and in railway stations in Mumbai. Indian authorities blamed the Pakistan-backed Lashkar-e-Toiba and Jaish-e-Mohammed, as well as the Students Islamic Movement of India, for the attacks.[49] However, despite apparent Pakistani involvement and the large number of casualties, the Diwali and Mumbai blasts were less of a national affront than the Parliament and Kaluchak attacks, which targeted the foremost symbol of the Indian state and the family members of Indian military personnel.

New Delhi has therefore opted for restraint despite ongoing terrorist violence. For example, after the Diwali attacks, Prime Minister Manmohan Singh urged citizens to "remain calm, not to panic or believe rumors and ensure that we go about our normal activities."[50] And after the Mumbai blasts, the prime minister again exhorted Indians "to remain calm. Do not be provoked by rumors. Do